

4.1.3 Price determination in a competitive market

4.1.3.1 The determinants of the demand for goods and services

Content	Additional information
• A demand curve shows the relationship between price and quantity demanded. • The causes of shifts in the demand curve.	

4.1.3.2 Price, income and cross elasticities of demand

Content	Additional information
• Be able to calculate price, income and cross elasticities of demand. • The relationship between income elasticity of demand and normal and inferior goods. • The relationship between cross elasticity of demand and substitute and complementary goods. • The relationships between price elasticity of demand and firms' total revenue (total expenditure). • The factors that influence these elasticities of demand.	Students should be able to interpret numerical values of these elasticities of demand.

4.1.3.3 The determinants of the supply of goods and services

Content	Additional information
• A supply curve shows the relationship between price and quantity supplied. • Understand that higher prices imply higher profits and that this will provide the incentive to expand production. • The causes of shifts in the supply curve.	Students should also know that, under perfect competition, the supply curve is the marginal cost curve.

4.1.3.4 Price elasticity of supply

Content	Additional information
• Be able to calculate price elasticity of supply. • The factors that influence price elasticity of supply.	Students should be able to interpret numerical values of price elasticity of supply.

4.1.3.5 The determination of equilibrium market prices

Content	Additional information
• How the interaction of demand and supply determines equilibrium prices in a market economy. • The difference between equilibrium and disequilibrium. • Why excess demand and excess supply lead to changes in price.	Students should be able to use demand and supply diagrams to help them to analyse causes of changes in equilibrium market prices. They should be able to apply their knowledge of the basic model of demand and supply to a variety of real-world markets. They should be aware of the assumptions of the model of supply and demand.

4.1.3.6 The interrelationship between markets

Content	Additional information
• Changes in a particular market are likely to affect other markets. • The implications of joint demand, competitive demand, composite demand, derived demand and joint supply.	Students should, for example, be able to explore the impact of changes in demand, supply and price in one market upon other related markets.